Catastrophe (CAT) Response Plan

Cardinal Ridge Insurance Group | Document CRIG-CAT-005 | Effective 2026-01-01 | Version 3.1

FICTIONAL DOCUMENT - created for a software demonstration. Cardinal Ridge Insurance Group does not exist. Legal and regulatory content is simplified and is NOT legal advice.

1. Activation

A catastrophe event is declared by the Chief Claims Officer when an event is expected to generate more than 500 claims or 25 million USD of insured loss. Each event receives a CAT code, for example CAT-2025-HURR-FL (Hurricane, Florida), CAT-2025-HURR-TX and CAT-2026-HAIL-TX (hail, Texas).

2. Operating model

• Surge adjusters: independent adjusters are engaged under CAT authority (JUNIOR 10,000 USD) with desk review above that.

• Triage: life-safety and uninhabitable homes first; drone and satellite imagery for roofs.

• Advance payments: up to 5,000 USD for additional living expenses without full inspection.

• Claims are tagged with the CAT code so reserves, reinsurance and regulatory reports can be produced by event.

3. Regulatory notes

• Regulators may extend or suspend claims deadlines after a declared disaster - always check the state bulletin.

• Florida: acknowledge within 7 calendar days; decide within 60 calendar days of notice.

• Hurricane percentage deductible (2% of dwelling limit) applies only to named-storm losses in FL and TX.

4. Reinsurance

Property Catastrophe XOL treaty RI-2026-PROP-XOL: retention 5,000,000 USD, limit 100,000,000 USD. Aggregate event losses and notify the reinsurers when the event reaches 50% of the retention.